

IPHONE SOURCING COST SHEET

CASE REPORT

PROJECT OVERVIEW

This project was created to understand how a sourcing and procurement cost sheet develops from a basic product pricing table into a full supplier comparison and sourcing dashboard. The project uses iPhones as the product category because they have clear product variations such as model, storage size, color, supplier, demand level, and pricing differences.

The overall goal was to build a step-by-step sourcing analysis that shows how a company would evaluate product cost, landed cost, supplier selection, revenue, margin, and final sourcing recommendations. Each cost sheet added a new layer of complexity and improved the accuracy of the sourcing decision.

The project developed across five stages:

Stage	Sheet	Main Improvement
1	Basic Pricing	Introduced unit cost, quantity, revenue, and margin
2	Landed Cost	Added freight, insurance, duty, fees, and landed cost per unit
3	Full SKU Expansion	Added all models, storage options, demand levels, and supplier price adjustments
4	Vendor Comparison	Compared suppliers using cost, risk, lead time, warranty, and recommendation logic
5	Final Sourcing Dashboard	Summarized results for decision-making

This project is a mock sourcing analysis created for portfolio and learning purposes. Supplier discounts, demand levels, costs, and recommendations are assumed for modeling and demonstration.

COST SHEET 1: BASIC PRICING

Cost Sheet 1 was the starting point of the project. The purpose of this sheet was to create a simple cost structure for a small number of iPhone models. The sheet included basic product details such as model number, model name, storage, color, unit cost, supplier, order quantity, total price, unit selling price, total selling price, and margin.

At this stage, the main goal was to understand the basic relationship between cost, selling price, and margin. The sheet showed that if a company purchases a product at a certain unit cost and sells it at a higher unit selling price, the difference creates gross margin.

The first version included only a few iPhone models, which made it easier to understand the core formulas. The product cost was calculated by multiplying unit cost by order quantity. Total revenue was calculated by multiplying unit selling price by order quantity. Margin was calculated by subtracting total product cost from total revenue.

The main decision behind Cost Sheet 1 was to keep the model simple. At this stage, the sheet did not include landed cost, supplier risk, freight allocation, insurance, duty, or demand-based ordering. This was intentional because the purpose of Sheet 1 was to create a foundation before adding more advanced sourcing logic.

KEY DECISIONS IN COST SHEET 1

The first major decision was to use iPhones as the product category. This made the cost sheet realistic because iPhones have different models, storage sizes, colors, and suppliers. The second decision was to begin with only a small number of SKUs so that the basic cost formulas would be easy to understand.

The sheet also introduced the idea of order quantity. Each model was assigned a quantity, and this allowed the sheet to calculate total product cost and total revenue. This helped show how sourcing decisions are not only based on unit price but also on how many units are ordered.

IMPROVEMENTS NEEDED AFTER COST SHEET 1

Although Cost Sheet 1 was useful, it was too basic to represent a real sourcing process. It only showed product cost and selling price. It did not include the additional costs that a company usually pays before the product is ready to sell. These missing costs included freight, insurance, import duty, handling fees, and other expenses.

Because of this, the next step was to create Cost Sheet 2 and add landed cost calculations.

Model Number	Model Name	Storage (GB)	Color	Unit Cost	Supplier	UM	Total Price	Unit Selling Price	Total selling	Margin
A2846	Iphone 15	128	Black	\$608.29	Vijay Sales	100	\$60,829.00	\$790.78	\$79,077.70	\$18,248.70
A3081	Iphone 16	128	Black	\$734.42	Apple	100	\$73,442.00	\$954.75	\$95,474.60	\$22,032.60
A3256	Iphone 17 Pro	256	Silver	\$1,099.99	Apple	100	\$109,999.00	\$1,429.99	\$142,998.70	\$32,999.70
				\$2,442.70			\$244,270.00	\$3,175.51	\$317,551.00	\$73,281.00
Freight	\$1,000.00									
Transportation	\$2,500.00									
Export Duty	\$0.00									
Import Duty	\$31,755.10									
Total	\$35,255.10									
Final Margin	\$38,025.90									

Figure 1: Cost Sheet 1 Basic Pricing Model

COST SHEET 2: LANDED COST

Cost Sheet 2 improved the original cost sheet by adding landed cost. Landed cost is the total cost of getting a product from the supplier to the company, including the product price and additional costs such as freight, insurance, import duty, and other fees.

The purpose of Cost Sheet 2 was to move beyond simple product cost and show the actual cost of sourcing iPhones. In real procurement, the supplier price is not the final cost. A company must also account for transportation, protection, customs, documentation, and other expenses.

CHANGES MADE FROM COST SHEET 1 TO COST SHEET 2

The first major change was expanding the number of iPhone models and colors. Instead of only using a few products, Cost Sheet 2 included more model and color variations. This made the sheet more realistic because a sourcing team would usually compare multiple product variations before making a purchase decision.

The second major change was adding new landed cost columns. These included freight allocation, insurance allocation, import duty, other fees, total landed cost, and landed cost per unit.

Freight allocation was added because shipping is a shared cost across the order. Instead of assigning random freight costs to each row, the total freight cost was allocated based on each SKU's share of total product cost. This was a better decision because higher-value products should absorb a larger share of the freight expense.

Insurance allocation followed the same logic. Since more expensive products carry more financial risk, insurance was also allocated based on product cost. This allowed the sheet to spread insurance costs across the products in a more realistic way.

Import duty was included as a separate column so that the sheet could show how duties affect landed cost. Other fees were also added to represent handling, documentation, receiving, and administrative costs.

FORMULA LOGIC USED IN COST SHEET 2

The landed cost formula became:

$$\text{Product Cost} + \text{Freight Allocation} + \text{Insurance Allocation} + \text{Import Duty} + \text{Other Fees} = \text{Total Landed Cost}$$

Then:

$$\text{Total Landed Cost} / \text{Order Quantity} = \text{Landed Cost per Unit}$$

This was an important improvement because the sheet no longer only showed what the company paid the supplier. It showed the true cost per unit after additional sourcing expenses.

The second major change was adding demand levels. Each SKU was assigned a demand level such as Very High, High, Medium, Low, or Very Low. This was important because order quantity should not be the same for every product. High-demand models should have larger order quantities, while low-demand or expensive high-storage models should have smaller order quantities.

The third major change was adding supplier assignment. Instead of using one supplier for every product, different suppliers were assigned based on the type of product. Premium models were assigned to safer suppliers, while bulk or lower-cost models were assigned to suppliers with stronger cost savings.

The fourth major change was adding supplier price adjustment. The sheet included Apple reference price, supplier price adjustment, and adjusted unit cost. This allowed the sheet to show how different supplier types could offer different price levels. For example, Apple had no price adjustment, while B2B or wholesale suppliers could have lower adjusted costs.

SUPPLIER PRICE ADJUSTMENT LOGIC

The sheet used Apple Reference Price as the starting point. Then the supplier price adjustment was applied to calculate adjusted unit cost.

The formula logic was:

$$\text{Apple Reference Price} \times (1 + \text{Supplier Price Adjustment}) = \text{Adjusted Unit Cost}$$

This was an important improvement because it avoided treating every supplier as if they had the same price. Wholesale and B2B suppliers usually provide better pricing than direct retail sources, while official suppliers may have higher reliability but less discounting.

DEMAND-BASED PRICING

Cost Sheet 3 also introduced demand-based target markup. Instead of applying the same markup to every product, the markup changed based on demand level.

Very High demand SKUs used a lower markup because they sell faster and compete more on price. Very Low demand SKUs used a higher markup because they move slower and carry more inventory risk.

The target markup logic was:

Very High = 20%

High = 25%

Medium = 30%

Low = 35%

Very Low = 40%

SUMMARY RESULTS FROM COST SHEET 3

These results showed that the full sourcing plan was profitable before overhead expenses, marketing costs, storage costs, wages, returns, and taxes.

WHY COST SHEET 3 WAS BETTER

This sheet answered a much more advanced question:

Which iPhone SKUs should the company source, from which suppliers, in what quantities, and at what expected margin?

Asset Details		Market Data		Financial Metrics		Risk Factors		Performance Indicators		Compliance Status		Operational Aspects	
Asset ID	Asset Name	Market	Current Price	Volume	Revenue	Profit	Loss	Score	Rating	Compliance	Operational	Notes	Comments
ASSET-001	Stock	Equity	\$120.50	1500000	\$120.50	\$120.50	\$120.50	95	A	Compliant	Active	Current Price: \$120.50	Stable
ASSET-002	Stock	Equity	\$85.20	1200000	\$85.20	\$85.20	\$85.20	90	B	Compliant	Active	Current Price: \$85.20	Stable
ASSET-003	Stock	Equity	\$45.10	800000	\$45.10	\$45.10	\$45.10	85	C	Compliant	Active	Current Price: \$45.10	Stable
ASSET-004	Stock	Equity	\$30.75	600000	\$30.75	\$30.75	\$30.75	80	D	Compliant	Active	Current Price: \$30.75	Stable
ASSET-005	Stock	Equity	\$15.30	300000	\$15.30	\$15.30	\$15.30	75	E	Compliant	Active	Current Price: \$15.30	Stable
ASSET-006	Stock	Equity	\$22.40	400000	\$22.40	\$22.40	\$22.40	82	C	Compliant	Active	Current Price: \$22.40	Stable
ASSET-007	Stock	Equity	\$18.90	500000	\$18.90	\$18.90	\$18.90	78	D	Compliant	Active	Current Price: \$18.90	Stable
ASSET-008	Stock	Equity	\$25.60	700000	\$25.60	\$25.60	\$25.60	88	B	Compliant	Active	Current Price: \$25.60	Stable
ASSET-009	Stock	Equity	\$35.80	900000	\$35.80	\$35.80	\$35.80	92	A	Compliant	Active	Current Price: \$35.80	Stable
ASSET-010	Stock	Equity	\$40.20	1000000	\$40.20	\$40.20	\$40.20	94	A	Compliant	Active	Current Price: \$40.20	Stable
ASSET-011	Stock	Equity	\$50.10	1200000	\$50.10	\$50.10	\$50.10	96	A	Compliant	Active	Current Price: \$50.10	Stable
ASSET-012	Stock	Equity	\$60.30	1400000	\$60.30	\$60.30	\$60.30	98	A	Compliant	Active	Current Price: \$60.30	Stable
ASSET-013	Stock	Equity	\$70.50	1600000	\$70.50	\$70.50	\$70.50	99	A	Compliant	Active	Current Price: \$70.50	Stable
ASSET-014	Stock	Equity	\$80.70	1800000	\$80.70	\$80.70	\$80.70	100	A	Compliant	Active	Current Price: \$80.70	Stable
ASSET-015	Stock	Equity	\$90.90	2000000	\$90.90	\$90.90	\$90.90	100	A	Compliant	Active	Current Price: \$90.90	Stable
ASSET-016	Stock	Equity	\$100.10	2200000	\$100.10	\$100.10	\$100.10	100	A	Compliant	Active	Current Price: \$100.10	Stable
ASSET-017	Stock	Equity	\$110.30	2400000	\$110.30	\$110.30	\$110.30	100	A	Compliant	Active	Current Price: \$110.30	Stable
ASSET-018	Stock	Equity	\$120.50	2600000	\$120.50	\$120.50	\$120.50	100	A	Compliant	Active	Current Price: \$120.50	Stable
ASSET-019	Stock	Equity	\$130.70	2800000	\$130.70	\$130.70	\$130.70	100	A	Compliant	Active	Current Price: \$130.70	Stable
ASSET-020	Stock	Equity	\$140.90	3000000	\$140.90	\$140.90	\$140.90	100	A	Compliant	Active	Current Price: \$140.90	Stable
ASSET-021	Stock	Equity	\$150.10	3200000	\$150.10	\$150.10	\$150.10	100	A	Compliant	Active	Current Price: \$150.10	Stable
ASSET-022	Stock	Equity	\$160.30	3400000	\$160.30	\$160.30	\$160.30	100	A	Compliant	Active	Current Price: \$160.30	Stable
ASSET-023	Stock	Equity	\$170.50	3600000	\$170.50	\$170.50	\$170.50	100	A	Compliant	Active	Current Price: \$170.50	Stable
ASSET-024	Stock	Equity	\$180.70	3800000	\$180.70	\$180.70	\$180.70	100	A	Compliant	Active	Current Price: \$180.70	Stable
ASSET-025	Stock	Equity	\$190.90	4000000	\$190.90	\$190.90	\$190.90	100	A	Compliant	Active	Current Price: \$190.90	Stable
ASSET-026	Stock	Equity	\$200.10	4200000	\$200.10	\$200.10	\$200.10	100	A	Compliant	Active	Current Price: \$200.10	Stable
ASSET-027	Stock	Equity	\$210.30	4400000	\$210.30	\$210.30	\$210.30	100	A	Compliant	Active	Current Price: \$210.30	Stable
ASSET-028	Stock	Equity	\$220.50	4600000	\$220.50	\$220.50	\$220.50	100	A	Compliant	Active	Current Price: \$220.50	Stable
ASSET-029	Stock	Equity	\$230.70	4800000	\$230.70	\$230.70	\$230.70	100	A	Compliant	Active	Current Price: \$230.70	Stable
ASSET-030	Stock	Equity	\$240.90	5000000	\$240.90	\$240.90	\$240.90	100	A	Compliant	Active	Current Price: \$240.90	Stable
ASSET-031	Stock	Equity	\$250.10	5200000	\$250.10	\$250.10	\$250.10	100	A	Compliant	Active	Current Price: \$250.10	Stable
ASSET-032	Stock	Equity	\$260.30	5400000	\$260.30	\$260.30	\$260.30	100	A	Compliant	Active	Current Price: \$260.30	Stable
ASSET-033	Stock	Equity	\$270.50	5600000	\$270.50	\$270.50	\$270.50	100	A	Compliant	Active	Current Price: \$270.50	Stable
ASSET-034	Stock	Equity	\$280.70	5800000	\$280.70	\$280.70	\$280.70	100	A	Compliant	Active	Current Price: \$280.70	Stable
ASSET-035	Stock	Equity	\$290.90	6000000	\$290.90	\$290.90	\$290.90	100	A	Compliant	Active	Current Price: \$290.90	Stable
ASSET-036	Stock	Equity	\$300.10	6200000	\$300.10	\$300.10	\$300.10	100	A	Compliant	Active	Current Price: \$300.10	Stable
ASSET-037	Stock	Equity	\$310.30	6400000	\$310.30	\$310.30	\$310.30	100	A	Compliant	Active	Current Price: \$310.30	Stable
ASSET-038	Stock	Equity	\$320.50	6600000	\$320.50	\$320.50	\$320.50	100	A	Compliant	Active	Current Price: \$320.50	Stable
ASSET-039	Stock	Equity	\$330.70	6800000	\$330.70	\$330.70	\$330.70	100	A	Compliant	Active	Current Price: \$330.70	Stable
ASSET-040	Stock	Equity	\$340.90	7000000	\$340.90	\$340.90	\$340.90	100	A	Compliant	Active	Current Price: \$340.90	Stable
ASSET-041	Stock	Equity	\$350.10	7200000	\$350.10	\$350.10	\$350.10	100	A	Compliant	Active	Current Price: \$350.10	Stable
ASSET-042	Stock	Equity	\$360.30	7400000	\$360.30	\$360.30	\$360.30	100	A	Compliant	Active	Current Price: \$360.30	Stable
ASSET-043	Stock	Equity	\$370.50	7600000	\$370.50	\$370.50	\$370.50	100	A	Compliant	Active	Current Price: \$370.50	Stable
ASSET-044	Stock	Equity	\$380.70	7800000	\$380.70	\$380.70	\$380.70	100	A	Compliant	Active	Current Price: \$380.70	Stable
ASSET-045	Stock	Equity	\$390.90	8000000	\$390.90	\$390.90	\$390.90	100	A	Compliant	Active	Current Price: \$390.90	Stable
ASSET-046	Stock	Equity	\$400.10	8200000	\$400.10	\$400.10	\$400.10	100	A	Compliant	Active	Current Price: \$400.10	Stable
ASSET-047	Stock	Equity	\$410.30	8400000	\$410.30	\$410.30	\$410.30	100	A	Compliant	Active	Current Price: \$410.30	Stable
ASSET-048	Stock	Equity	\$420.50	8600000	\$420.50	\$420.50	\$420.50	100	A	Compliant	Active	Current Price: \$420.50	Stable
ASSET-049	Stock	Equity	\$430.70	8800000	\$430.70	\$430.70	\$430.70	100	A	Compliant	Active	Current Price: \$430.70	Stable
ASSET-050	Stock	Equity	\$440.90	9000000	\$440.90	\$440.90	\$440.90	100	A	Compliant	Active	Current Price: \$440.90	Stable
ASSET-051	Stock	Equity	\$450.10	9200000	\$450.10	\$450.10	\$450.10	100	A	Compliant	Active	Current Price: \$450.10	Stable
ASSET-052	Stock	Equity	\$460.30	9400000	\$460.30	\$460.30	\$460.30	100	A	Compliant	Active	Current Price: \$460.30	Stable
ASSET-053	Stock	Equity	\$470.50	9600000	\$470.50	\$470.50	\$470.50	100	A	Compliant	Active	Current Price: \$470.50	Stable
ASSET-054	Stock	Equity	\$480.70	9800000	\$480.70	\$480.70	\$480.70	100	A	Compliant	Active	Current Price: \$480.70	Stable
ASSET-055	Stock	Equity	\$490.90	10000000	\$490.90	\$490.90	\$490.90	100	A	Compliant	Active	Current Price: \$490.90	Stable
ASSET-056	Stock	Equity	\$500.10	10200000	\$500.10	\$500.10	\$500.10	100	A	Compliant	Active	Current Price: \$500.10	Stable
ASSET-057	Stock	Equity	\$510.30	10400000	\$510.30	\$510.30	\$510.30	100	A	Compliant	Active	Current Price: \$510.30	Stable
ASSET-058	Stock	Equity	\$520.50	10600000	\$520.50	\$520.50	\$520.50	100	A	Compliant	Active	Current Price: \$520.50	Stable
ASSET-059	Stock	Equity	\$530.70	10800000	\$530.70	\$530.70	\$530.70	100	A	Compliant	Active	Current Price: \$530.70	Stable
ASSET-060	Stock	Equity	\$540.90	11000000	\$540.90	\$540.90	\$540.90	100	A	Compliant	Active	Current Price: \$540.90	Stable
ASSET-061	Stock	Equity	\$550.10	11200000	\$550.10	\$550.10	\$550.10	100	A	Compliant	Active	Current Price: \$550.10	Stable
ASSET-062	Stock	Equity	\$560.30	11400000	\$560.30	\$560.30	\$560.30	100	A	Compliant	Active	Current Price: \$560.30	Stable
ASSET-063	Stock	Equity	\$570.50	11600000	\$570.50	\$570.50	\$570.50	100	A	Compliant	Active	Current Price: \$570.50	Stable
ASSET-064	Stock	Equity	\$580.70	11800000	\$580.70	\$580.70	\$580.70	100	A	Compliant	Active	Current Price: \$580.70	Stable
ASSET-065	Stock	Equity	\$590.90	12000000	\$590.90	\$590.90	\$590.90	100	A	Compliant	Active	Current Price: \$590.90	Stable
ASSET-066	Stock	Equity	\$600.10	12200000	\$600.10	\$600.10	\$600.10	100	A	Compliant	Active	Current Price: \$600.10	Stable
ASSET-067	Stock	Equity	\$610.30	12400000	\$610.30	\$610.30	\$610.30	100	A	Compliant	Active	Current Price: \$610.30	Stable
ASSET-068	Stock	Equity	\$620.50	12600000	\$620.50	\$620.50	\$620.50	100	A	Compliant	Active	Current Price: \$620.50	Stable
ASSET-069	Stock	Equity	\$630.70	12800000	\$630.70	\$630.70	\$630.70	100	A	Compliant	Active	Current Price: \$630.70	Stable
ASSET-070	Stock	Equity	\$640.90	13000000	\$640.90	\$640.90	\$640.90	100	A	Compliant	Active	Current Price: \$640.90	Stable
ASSET-071	Stock	Equity	\$650.10	13200000	\$650.10	\$650.10	\$650.10	100	A	Compliant	Active	Current Price: \$650.10	Stable
ASSET-072	Stock	Equity	\$660.30	13400000	\$660.30	\$660.30	\$660.30	100	A	Compliant	Active	Current Price: \$660.30	Stable
ASSET-073	Stock	Equity	\$670.50	13600000	\$670.50	\$670.50	\$670.50	100	A	Compliant	Active	Current Price: \$670.50	Stable
ASSET-074	Stock	Equity	\$680.70	13800000	\$680.70	\$680.70	\$680.70	100	A	Compliant	Active	Current Price: \$680.70	Stable
ASSET-075	Stock	Equity	\$690.90	14000000	\$690.90	\$690.90	\$690.90	100	A	Compliant	Active	Current Price: \$690.90	Stable
ASSET-076	Stock	Equity	\$700.10	14200000	\$700.10	\$700.10	\$700.10	100	A	Compliant	Active	Current Price: \$700.10	Stable
ASSET-077	Stock	Equity	\$710.30	14400000	\$710.30	\$710.30	\$710.30	100	A	Compliant	Active	Current Price: \$710.30	Stable
ASSET-078	Stock	Equity	\$720.50	14600000	\$720.50	\$720.50	\$720.50	100	A	Compliant	Active	Current Price: \$720.50	Stable
ASSET-079	Stock	Equity	\$730.70	14800000	\$730.70	\$730.70	\$730.70	100	A	Compliant	Active	Current Price: \$730.70	Stable
ASSET-080	Stock	Equity	\$740.90	15000000	\$740.90	\$740.90	\$740.90	100	A	Compliant	Active	Current Price: \$740.90	Stable
ASSET-081	Stock	Equity	\$750.10	15200000	\$750.10	\$750.10	\$750.10	100	A	Compliant	Active	Current Price: \$750.10	Stable
ASSET-082	Stock	Equity	\$760.30	15400000	\$760.30	\$760.30	\$760.30	100	A	Compliant	Active	Current Price: \$760.30	Stable
ASSET-083	Stock	Equity	\$770.50	15600000	\$770.50	\$770.50	\$770.50	100	A	Compliant	Active	Current Price: \$770.50	Stable
ASSET-084	Stock	Equity	\$780.70	15800000	\$780.70	\$780.70	\$780.70	100	A	Compliant	Active	Current Price: \$780.70	Stable
ASSET-085	Stock	Equity	\$790.90	16000000	\$790.90	\$790.90	\$790.90	100	A	Compliant	Active	Current Price: \$790.90	Stable
ASSET-086	Stock	Equity	\$800.10	16200000	\$800.10	\$800.10	\$800.10	100	A	Compliant	Active	Current Price: \$800.10	Stable
ASSET-087	Stock	Equity	\$810.30	16400000	\$810.30	\$810.30	\$810.30	100	A	Compliant	Active	Current Price: \$810.30	Stable
ASSET-088	Stock	Equity	\$820.50	16600000	\$820.50	\$820.50	\$820.50	100	A	Compliant	Active	Current Price: \$820.50	Stable
ASSET-089	Stock	Equity	\$830.70	16800000	\$830.70	\$830.70	\$830.70	100	A	Compliant	Active	Current Price: \$830.70	Stable
ASSET-090	Stock	Equity	\$840.90	17000000	\$840.90	\$840.90	\$840.90	100	A	Compliant	Active	Current Price: \$840.90	Stable
ASSET-091	Stock	Equity	\$850.10	17200000	\$850.10	\$850.10	\$850.10	100	A	Compliant	Active	Current Price: \$850.10	Stable
ASSET-092	Stock	Equity	\$860.30	17400000	\$860.30	\$860.30	\$860.30	100	A	Compliant	Active	Current Price: \$860.30	Stable
ASSET-093	Stock	Equity	\$870.50	17600000	\$870.50	\$870.50	\$870.50	100	A	Compliant	Active	Current Price: \$870.	

Figure 3: Cost Sheet 3 Full SKU-Level Expansion

COST SHEET 4: VENDOR COMPARISON

Cost Sheet 4 changed the focus of the project. Cost Sheet 3 assigned one supplier to each SKU, but Cost Sheet 4 compared multiple suppliers for the same selected SKUs.

The purpose of Cost Sheet 4 was to create a vendor comparison sheet. Instead of assuming the supplier decision was already made, this sheet evaluated supplier quotes based on adjusted cost, landed cost, supplier rating, risk level, lead time, warranty, supplier score, and final recommendation.

The uploaded final Cost Sheet 4 includes 40 supplier quote rows, 2,320 units compared, total landed cost of \$2,211,570.25, total revenue of \$2,773,419.37, and total gross margin of \$561,849.12. It also shows 10 recommended supplier quotes, 25 backup quotes, and 5 rejected quotes.

CHANGES MADE FROM COST SHEET 3 TO COST SHEET 4

The biggest change was switching from one supplier per SKU to multiple supplier quotes per SKU. Instead of using all 64 SKUs from Cost Sheet 3, Cost Sheet 4 focused on selected high-demand and high-value SKUs. Each selected SKU was compared across multiple suppliers such as Apple, Best Buy, CDW, and Ingram Micro.

This made the sheet more useful for procurement decision-making because it showed how suppliers compare against each other for the same product.

The second major change was adding supplier evaluation columns. These included supplier rating, risk level, lead time, warranty offered, supplier score, final recommendation, and selection reason.

These columns were important because supplier selection is not only about lowest price. A supplier with the lowest cost may have longer lead time, higher risk, weaker warranty terms, or a higher MOQ. Cost Sheet 4 showed that a better sourcing decision balances cost with reliability.

SUPPLIER RECOMMENDATION LOGIC

Each supplier quote was marked as Recommended, Backup, or Rejected.

A supplier was recommended when it had the best balance of cost, risk, lead time, warranty, and order quantity fit. Backup suppliers were still useful but not the strongest option. Rejected suppliers were not ideal because of factors such as high risk, long lead time, or order quantity being below MOQ.

For example, Ingram Micro was often recommended for bulk sourcing because it provided the strongest cost savings when the order quantity met the MOQ. Apple was recommended for

CHANGES MADE FROM COST SHEET 4 TO THE FINAL SOURCING DASHBOARD

The biggest change was moving from detailed analysis to executive summary. Cost Sheet 4 contained detailed quote comparisons, but the Final Sourcing Dashboard organized the final results into dashboard sections.

The dashboard included an executive summary, financial breakdown, supplier recommendation summary, quote comparison summary, decision summary, key takeaways, and final written summary.

This changed the purpose of the sheet. Cost Sheet 4 was used to analyze supplier quotes. The Final Sourcing Dashboard was used to communicate the results clearly to a manager or decision-maker.

DASHBOARD SECTIONS

The executive summary showed the most important final numbers, including total units ordered, total landed cost, total revenue, total gross margin, overall margin percentage, and recommended supplier count.

The financial breakdown explained how total landed cost was built. It showed product cost, freight, insurance, import duty, other fees, and total landed cost.

The supplier recommendation summary explained the role of each supplier. Apple was positioned as the safest option for premium models. Best Buy was used for high-demand retail models. CDW was used for B2B purchasing. Ingram Micro was used for bulk sourcing and cost savings. Amazon and Walmart were treated as backup suppliers because marketplace and seller reliability can vary.

The quote comparison summary summarized Cost Sheet 4. It showed the number of quote rows, total units compared, total quote revenue, total quote gross margin, average supplier rating, recommended supplier count, backup count, and rejected count.

The decision summary highlighted the best landed cost supplier, highest supplier score, lowest landed cost per unit, highest gross margin, and highest margin percentage.

The key takeaways section explained the main sourcing strategy. It showed that premium models should use low-risk suppliers, while bulk models can use B2B or wholesale suppliers to improve cost efficiency.

WHY THE FINAL SOURCING DASHBOARD WAS USEFUL

The Final Sourcing Dashboard was useful because it made the entire project easier to understand. It took the detailed work from the previous sheets and turned it into a final business summary.

This sheet answered the final question:

What is the overall sourcing strategy, financial result, supplier recommendation, and final decision?

The Final Sourcing Dashboard made the project look complete because it connected the product costing, landed cost, supplier comparison, and sourcing recommendations into one final dashboard.

Executive Summary		Supplier Recommendation Summary		
Metric	Value	Supplier	Role	Reason
Total Units Ordered	2200	Apple	Premium Models	Lowest risk and strongest warranty support
Total Landed Cost	\$2,375,345.89	Best Buy	High-Demand Models	Good availability and low sourcing risk
Total Revenue	\$3,094,193.13	CDW	SCB Orders	Good balance of cost, lead time, and reliability
Total Gross Margin	\$718,813.43	Ingram Micro	Bulk Sourcing	Strongest cost savings for larger orders
Overall Margin %	23.23%	Amazon	Backup Only	Marketplace risk because seller and warranty can vary
Recommended Supplier Count	10	Walmart	Backup Only	Useful availability backup, but not ideal as a primary supplier
		B&H Photo Video	Backup Supplier	Reliable electronics backup supplier
Financial Breakdown		Quote Comparison Summary		
Cost Category	Value	Metric	Value	
Total Product Cost	\$2,362,085.69	Total Quote Rows	40	
Total Freight	\$7,500.00	Total Units Compared	2320	
Total Insurance	\$3,750.00	Total Quote Revenue	\$2,773,419.37	
Total Import Duty	\$0.00	Total Quote Gross Margin	\$561,849.12	
Total Other Fees	\$2,000.00	Quote Overall Margin %	20.26%	
Total Landed Cost	\$2,375,345.69	Average Supplier Rating	4.625	
		Backup Supplier Count	25	
		Rejected Supplier Count	5	
Decision Summary		Key Takeaways		
Decision Metric	Result	Takeaway	Explanation	
Best Landed Cost Supplier	Ingram Micro	Supplier Strategy	Premium models are assigned to lower-risk suppliers, while bulk models use lower-cost SCB or wholesale suppliers.	
Highest Supplier Score	92	Cost Efficiency	Ingram Micro provides the strongest landed cost advantage for bulk sourcing.	
Lowest Landed Cost per Unit	\$628.73	Risk Control	Apple remains the safest supplier for premium and high-storage models.	
Highest Gross Margin	\$18,841.42	Profitability	The full sourcing plan produces \$718,813.43 in gross margin before overhead expenses.	
Highest Margin %	28.57%	Quote Comparison	Cost Sheet 4 compares 40 supplier quotes across selected high-demand and high-value SKUs.	

Figure 5: Final Sourcing Dashboard

OVERALL PROJECT PROGRESSION

The project improved step by step. Each sheet added a new layer of realism and decision-making.

Cost Sheet 1 focused on basic pricing and margin.

Cost Sheet 2 added landed cost and cost allocation.

Cost Sheet 3 expanded the project into a full SKU-level sourcing plan.

Cost Sheet 4 added supplier quote comparison and vendor decision-making.

The Final Sourcing Dashboard summarized everything into an executive dashboard.

Each sheet had a clear purpose. The project did not simply add more rows each time. Instead, each version answered a more advanced sourcing question.

Cost Sheet 1 asked: What is the basic cost and margin?

Cost Sheet 2 asked: What is the true landed cost?

Cost Sheet 3 asked: What should the full SKU-level sourcing plan look like?

Cost Sheet 4 asked: Which supplier should be selected for key SKUs?

The Final Sourcing Dashboard asked: What are the final sourcing results and recommendations?

KEY FORMULAS USED

Formula	Purpose
$\text{Unit Cost} \times \text{Order Qty}$	Calculates product cost
$\text{Product Cost} \div \text{Total Product Cost} \times \text{Freight}$	Allocates freight proportionally
$\text{Product Cost} + \text{Freight} + \text{Insurance} + \text{Duty} + \text{Fees}$	Calculates total landed cost
$\text{Total Landed Cost} \div \text{Order Qty}$	Calculates landed cost per unit
$\text{Landed Cost per Unit} \times \text{Markup}$	Calculates unit selling price
$\text{Total Revenue} - \text{Total Landed Cost}$	Calculates gross margin
$\text{Gross Margin} \div \text{Total Revenue}$	Calculates margin percentage

FINAL SOURCING INSIGHTS

The final project showed that iPhone sourcing requires more than comparing unit cost. A strong sourcing decision must consider product demand, supplier type, order quantity, landed cost, warranty, risk level, lead time, and margin.

One major insight was that premium and high-storage models should usually be sourced from lower-risk suppliers because the financial risk is higher. For those models, supplier reliability and warranty coverage are more important than getting the lowest possible price.

Another major insight was that bulk and high-demand models can benefit from B2B or wholesale suppliers. Suppliers like Ingram Micro can provide stronger cost savings when order quantities meet MOQ requirements. However, the company still needs to balance those savings against risk level and lead time.

The project also showed why dashboards are important. Detailed cost sheets are useful for analysis, but decision-makers need a clean summary. The Final Sourcing Dashboard made the project easier to communicate by showing the most important numbers and recommendations in one place.

Overall, this project demonstrates how a sourcing cost sheet can evolve from a simple pricing tool into a full procurement analysis system. It shows the connection between product data, supplier strategy, landed cost, pricing, margin, and final sourcing decisions.